

Insight 1 — Furniture is a profit problem hiding behind strong sales Furniture generates \$740K in sales — almost identical to Technology's \$835K. But its profit is only \$18K compared to Technology's \$145K. Its profit margin is just **2.5%** while Technology runs at **17.4%**. The store is selling almost as much Furniture as Technology but making 8x less money from it.

So what? Furniture pricing or discounting strategy needs an urgent review. It is consuming shelf space, logistics, and resources for almost no return.

Insight 2 — Tables are actively losing money Tables have \$207K in sales but generate - **\$17,726 in profit** — a margin of -8.6%. Every Table sold loses the store money. Bookcases and Supplies are also loss-making. These three sub-categories alone are dragging down the entire Furniture category.

So what? The store should either eliminate Tables and Bookcases entirely or immediately stop discounting them. They are the single biggest profit leak in the business.

Insight 3 — Copiers and Paper are the hidden stars Copiers have a **37.2% profit margin** and Paper has an extraordinary **43.4% margin**. These are the most profitable products in the entire store — yet they are not the highest selling items.

So what? The store should prioritize promoting Copiers and Paper aggressively. More sales of these two products would dramatically improve overall profitability without increasing costs.

Insight 4 — The Central region is significantly underperforming The West region achieves a **14.9% profit margin**. The Central region — despite \$500K in sales — only achieves **7.9%**. That's nearly half the profitability of the West on a similar revenue base.

So what? Something is wrong in the Central region specifically — either heavier discounting, higher costs, or a different product mix. This needs investigation at the regional manager level.

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